

**Time:** 5 minutes**Outcome:** Analyze seigniorage, the inflation tax, disinflation, and deflation burdens.**Difficulty:** ●●○ Intermediate

Inflation Tax and Deflation



THE CORE IDEA

Money creation can finance government spending; the revenue from creating money is seigniorage. When prices rise, existing money balances lose purchasing power, creating an inflation tax on money holders. Disinflation means slower inflation; deflation means a falling price level. Deflation raises the purchasing power of cash but also raises the real burden of a fixed nominal debt.



HOW TO RECOGNIZE IT

- Money-financed government spending can erode the purchasing power of existing cash balances.
- A fall from 6% to 2% inflation is disinflation: prices still rise.
- Negative inflation means deflation: the price level falls.
- With a fixed nominal debt, lower prices raise the amount of goods needed to repay it.



WATCH OUT

Do not assume a tax must always be explicit and legislative. Inflation acts like a tax on money holders by reducing the purchasing power of their cash balances.



WORKED EXAMPLE: PURCHASING POWER OF CASH

A household holds \$1,000 in cash while the price level rises 10%. Its purchasing power becomes $\$1,000 / 1.10 = \909.09 in initial-price dollars, a 9.09% loss. If the price level instead falls 10%, a fixed \$1,000 debt has a real repayment burden of $\$1,000 / 0.90 = \$1,111.11$ in initial-price dollars.



CHECK YOURSELF

A student looks for an “inflation tax” line on a tax return. What is the best correction?

**READY?**

Return to the game and master this concept.